Sample Commercial Loan Application

Prepared for: **Meridian Co-operative Bank**

Applicant: **Crestline Retail Pvt. Ltd.**

This document simulates a commercial loan proposal for a moderate-quality Grade B borrower. It is intended for testing document ingestion, RAG pipelines, and automated underwriting workflows.

CREDIT GRADE: B

Loan Request Summary

Loan Amount Requested	$3,500,000
Loan Purpose	Warehouse Expansion & Working Capital
Loan Term	5 Years
Interest Structure	Floating (SOFR + 4.5%)
Collateral	Warehouse Property + Inventory Pledge

1. Company Overview

Crestline Retail Pvt. Ltd. is a mid-sized omnichannel retail operator with outlets across Tier-1 and Tier-2 cities in Maharashtra and Gujarat, India. Founded in 2015, the company operates 38 stores and a growing e-commerce vertical. The business is profitable but has experienced moderate revenue volatility tied to consumer discretionary spending cycles.

Recent Business Performance

- Revenue recovered in FY2024 following a 9% contraction in FY2023 due to post-pandemic demand normalization.
- E-commerce now contributes 22% of revenue, up from 11% in FY2022.
- One delayed loan repayment recorded in Q2 FY2023 (subsequently regularized within 45 days).

2. Financial Statements (Last 3 Years)

Year	Revenue	EBITDA	Net Profit	Total Debt
2022	$9,200,000	$1,380,000	$640,000	$4,100,000
2023	$8,370,000	$1,090,000	$320,000	$4,800,000

2024	$10,150,000	$1,420,000	$590,000	$5,300,000

Debt Service Coverage Ratio (DSCR) is estimated at 1.18 based on FY2024 operating cash flows — adequate but leaving limited headroom. Debt-to-EBITDA stands at 3.73x, slightly above the 3.5x preferred threshold. Current ratio is 1.3.

3. Risk Factors

- **Consumer discretionary exposure** — Revenue is sensitive to economic slowdowns and inflation-driven spending cuts.
- **Thin margins** — EBITDA margin of ~14% leaves limited buffer against cost inflation or revenue shocks.
- **Leverage** — Debt-to-EBITDA above 3.5x requires close monitoring post-disbursement.
- **Competitive landscape** — Facing pricing pressure from large-format retailers and quick-commerce platforms.
- **Single delayed repayment** — Although regularized, reflects cash flow management risk.

4. Compliance Notes

KYC documentation for Crestline Retail Pvt. Ltd. and its directors has been submitted. No sanctions or AML watchlist matches were identified during preliminary screening. GST filings are current; one minor Income Tax demand notice from AY2022-23 is under appeal and has been disclosed by the applicant. Corporate credit score is 694 (CIBIL).

5. Underwriter's Preliminary Assessment

Crestline Retail Pvt. Ltd. is a **viable but moderate-risk borrower**. Positive FY2024 revenue recovery and e-commerce growth are encouraging; however, elevated leverage, thin margins, and the prior delinquency warrant closer scrutiny. Recommended disposition: **CONDITIONAL APPROVAL** — subject to personal guarantees from promoters, covenant on Debt-to-EBITDA not exceeding 4.0x, and quarterly financial reporting.